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3 14 TENTATIVE RULING 9:15 a.m., Wednesday, July 29, 2026

ERIN
NYHAN, et al. v. FORD MOTOR COMPANY, et al. [25STCV19452]

DEFENDANTS
FORD MOTOR COMPANY AND WALNUT CREEK FORD'S MOTION FOR JUDGMENT ON THE PLEADINGS AS TO THE FIRST AMENDED COMPLAINT

MEET AND
CONFER: OK. Complies with CCP 2025.5

TIMELINE:
Lemon law action

6/1/2019: Plaintiffs Erin M. Nyhan and Damon W. Nyhan ("Plaintiffs") enter a warranty contract with Defendant Ford Motor Company ("Ford") regarding a 2019 Ford Explorer (the "Vehicle"), which was manufactured and/or distributed by Ford. (FAC, Exh. A.) Plaintiffs allege the Vehicle contained defective engine components (the "Defect"). Thereafter, Plaintiffs present the Vehicle to Defendant Walnut Creek Ford ("Walnut") for repairs.

6/30/2025: Plaintiffs file the Complaint. The operative First Amended Complaint ("FAC"), filed 8/20/2025, alleges causes of action for:¿

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1.
Violation
of Civil Code § 1793.2(d)¿

2.
Violation
of Civil Code § 1793.2(b)¿

3.
Violation
of Civil Code § 1793.2(a)(3)¿

4.
Breach
of the Implied Warranty of Merchantability

5.
Negligent
Repair

6.
Fraudulent
Inducement-Concealment¿

6/24/2026: Ford and Walnut (collectively, "Defendants") file this Motion for Judgment on the Pleadings, which is followed by Plaintiffs' Opposition (7/16/2026) and Defendants' Reply (7/20/2026).

TENTATIVE
RULING: MOTION FOR JUDGMENT ON THE PLEADINGS OF DEFENDANTS FORD MOTOR COMPANY AND WALNUT CREEK FORD is GRANTED with LEAVE TO AMEND.

Defendants
move for judgment on the pleadings as to all causes of action asserted in Plaintiffs' FAC on the grounds that Plaintiffs fail to state any legally cognizable claim against Defendants as a matter of law. The FAC asserts the first through fourth and the sixth causes of action against Ford and the fifth cause of action against Walnut.

A.

1st through 4th Causes of Action: Song-Beverly Act Claims — GRANTED with LEAVE TO AMEND

Ford argues Plaintiffs' claims for violations of the Song-Beverly Act ("SBA") are time barred by the six-year statute of repose under Code Civ. Proc., § 871.21, subd. (b) ("section 871.21, subd. (b)"). Under this statute, "an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle." (Code Civ. Proc., § 871.21, subd. (b).)

Code Civ. Proc., § 871.20 ("section 871.20"), which identifies the claims governed by section 871.21, subd. (b), states in relevant part:

(a) [T]his chapter applies to an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.¿

(b) This chapter does not apply to service contract claims under Section 1794 of the Civil Code or any action seeking remedies that are not restitution or replacement of a motor vehicle.¿

(Code Civ. Proc., § 871.20.)

All four of Plaintiffs' SBA claims are enumerated under section 871.20, and thus, each claim is governed by the six-year statute of repose under section 871.21, subd. (b). First, Plaintiffs' first and second causes of action are brought under Civ. Code §§ 1793.2, subds. (d) and (b), respectively, which are expressly covered by the plain language of section 871.20, subd. (a). (FAC, ¶¶ 28-29, 34-35.) Second, Plaintiffs' third cause of action is brought under Civ. Code § 1793.2, subd. (a)(3) and seeks to enforce the express warranties under this section via civil penalties pursuant to Civ. Code § 1794, subd. (c). (FAC, ¶¶ 39-40.) Claims for the enforcement of warranties under Civ. Code § 1794, subd. (c) explicitly fall within the covered claims defined by section 871.20, subd. (a). Third, Plaintiffs' fourth cause of action for breach of the implied warranty of merchantability is brought under Civ. Code §§ 1791.1, 1794, and 1795.5. (FAC, ¶¶ 42-43.) Again, claims brought under Civ. Code § 1794 explicitly fall within the covered claims under section 871.20, subd. (a). Accordingly, Plaintiffs' SBA claims must have been brought within six years "after the date of original delivery of the motor vehicle." (Code Civ. Proc., § 871.21, subd. (b).)

Here, Plaintiffs allege they entered a warranty contract with Ford for their Vehicle on or about June 1, 2019. (FAC, ¶ 7.) Absent tolling, the six-year deadline to file the instant claims would have expired on June 1, 2025. However, Plaintiffs did not file the instant lawsuit until June 30, 2025— just over six years after Plaintiffs obtained their Vehicle and the six-year statute of repose expired. (See Compl., generally.) While section 871.21, subd. (c) provides limited tolling exceptions to the section 871.21 statute of repose, Plaintiffs fails to allege any specific facts indicating the applicability of these tolling exceptions. At most, Plaintiffs generally allege that various equitable tolling doctrines apply here, but these allegations are largely conclusory and fail to demonstrate the application of the limited tolling doctrines under section 871.21, subd. (c) in particular. (FAC, ¶¶ 2426.) Thus, the Court finds Plaintiffs' SBA claims are time barred under section 871.21, subd. (b).¿

In response, Plaintiffs contend that section 871.21 cannot be retroactively applied to their claims. Generally, "a statute may be applied retroactively only if it contains express language of retroactivity or if other sources provide a clear and unavoidable implication that the Legislature intended retroactive application." (McClung v. Emp. Dev. Dep't (2004) 34 Cal.4th 467, 475.) Here, Code Civ. Proc., § 871.30, subd. (a) expressly permits a manufacturer to elect to be governed by the relevant statutory chapters for all actions described in section 871.20, subd. (a) "with respect to all of its motor vehicles sold in the year 2025 and in all prior years by providing written notice of that election to the Arbitration Certification Program within the Department of Consumer Affairs." (See Code Civ. Proc., § 871.30, subd. (a), emphasis added.) Thus, once Ford opted-in pursuant section 871.29, Plaintiffs' Vehicle became subject to these provisions. (Code Civ. Proc., § 871.30.) Further, Plaintiffs are incorrect in stating that Code Civ. Proc., § 871.30 did not become operative until July 1, 2025. (See Code Civ. Proc., § 871.30.)

Accordingly,

Plaintiffs fail to demonstrate that the statute of repose is not a complete bar to their SBA claims. (See Burroughs v. Precision Airmotive Corp. (2000) 78 Cal.App.4th 681, 689 ["A statute of repose is a legal recognition that, after an extended period of time, a product has demonstrated its safety and quality, and that it is not reasonable to hold a manufacturer legally responsible for an accident or injury occurring after that much time has elapsed."].)

Further,

Ford also asserts that Plaintiffs' fourth cause of action for breach of the implied warranty of merchantability is barred by the four-year limitations period under Com. Code, § 2725. (Mexia v. Rinker Boat Co., Inc.¿(2009) 174 Cal.App.4th 1297, 1306 ["the statute of limitations for an action for breach of warranty under the [SBA] is four years…"].) Under this section,¿"[a] cause of action¿accrues¿when the breach occurs, regardless of the aggrieved party's lack of knowledge of the breach. A breach of warranty occurs¿when tender of delivery is made, except that where a warranty¿explicitly¿extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered." (Comm. Code, § 2725, subd. (2), italics added; see Krieger v. Nick Alexander Imports, Inc.¿(1991) 234 Cal.App.3d 205, 211.) "Because¿an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that 'explicitly extends to future performance of the goods ….'" (Cardinal Health 301, Inc. v. Tyco Electronics Corp.¿(2008) 169 Cal.App.4th 116, 134, citing Comm. Code § 2725, subd. (2), italics added.) Thus, the statute of limitations for an implied warranty of merchantability claims begins to run upon tender of delivery. As applied here, Plaintiffs' fourth cause of action accrued at the time that the Vehicle was delivered (in or around June 1, 2019) and expired four years later on November 7, 2023. (FAC, ¶ 7.) Accordingly, Plaintiffs' implied warranty claim is also separately time-barred under the Comm. Code.

Therefore,
based on the allegations in the FAC, the Court finds that Plaintiffs' first through fourth causes of action are time-barred as a matter of law.

B.
6th
Cause of Action: Fraudulent Inducement-Concealment — GRANTED with LEAVE TO AMEND

Ford
argues that Plaintiffs cannot state their sixth cause of action for fraudulent inducement-concealment[1]
because: (1) it is barred by the three-year statute of limitations, (2) it fails to sufficiently plead the essential elements of fraud with the requisite level of particularity, and (3) it is barred by the economic loss rule and independent tort principle. The Court agrees with Ford's first two arguments.

i.
Statute
of Limitations

Plaintiffs'
fraudulent inducement-concealment claim is subject to a three-year limitations period. (Code Civ. Proc. § 338, subd. (d).) Even so, the three-year limitations period does not begin to run until the aggrieved party suspects or should suspect that her injury is caused by wrongdoing. (Brandon G. v. Gray (2003) 111 Cal.App.4th 29, 35.) In this case, however, Plaintiffs' allegations regarding their discovery of Ford's purported fraud are vague and lack the level of specificity required for pleading fraud claims. "When a plaintiff alleges the fraudulent concealment of a cause of action, the same pleading and proof is required as in fraud cases: the plaintiff must show (1) the substantive elements of fraud, and (2) an excuse for late discovery of the facts." (Community Cause v. Boatwright (1981) 124 Cal.App.3d 888, 899.) "As for the belated discovery, the complaint must allege (1) when the fraud was discovered; (2) the circumstances under which it was discovered; and (3) that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry." (Ibid.; Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 803 [under the delayed discovery rule, "the statute of limitations begins to run when the plaintiff has reason to suspect an injury and some wrongful cause, unless the plaintiff pleads and proves that a reasonable investigation at that time would not have revealed a

factual basis for that particular cause of action.”].)

Here, Plaintiffs allege that Ford knew about and concealed the Vehicle’s Defect from Plaintiffs “at the time of sale, repair, and thereafter.” (FAC, ¶ 59.) Plaintiffs allege they purchased the Vehicle around June 1, 2019. (Id. ¶ 7.) However, the FAC states no facts pertaining to when Plaintiffs sought repairs for the Vehicle. Likewise, Plaintiffs fail to allege any specific factual details regarding the circumstances under which they discovered Ford’s concealment. At most, Plaintiffs allege they “discovered Defendants’ wrongful conduct… shortly before the filing of the complaint,” which occurred in June 2025. (Id. ¶ 25.) Plaintiffs further alleged the Defect “was not known or reasonably discoverable by the Plaintiffs before the purchase and Plaintiffs did not know about Ford’s fraudulent conduct… until Plaintiffs made a reasonable number of attempts to repair [the Defect].” (Id. ¶ 69.) Due to these minimal facts, the FAC is uncertain as to when, specifically, Plaintiffs ultimately discovered or should have discovered the undisclosed Defects. At present, Plaintiffs’ reliance on the delayed discovery rule is inadequate for pleading purposes. (Id. ¶ 23.)

ii. Heightened Pleading Standard

The Court also finds that Plaintiffs have failed to allege the elements of fraudulent inducement-concealment with the requisite level of specificity for pleading fraud, particularly against an entity defendant such as Ford. Fraud, including concealment, must be pled specifically, and “general and conclusory allegations do not suffice.” (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645; Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 43 (Rattagan) [“California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim.”].) Additionally, “[t]he requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)¿¿

First,

Plaintiffs have not alleged sufficient facts pertaining to the alleged fraudulent representation or omission. Plaintiffs allege Ford and its agents actively concealed and failed to disclose the known Defect and its associated safety risks to Plaintiffs at the time of their purchase, repair attempts, and “thereafter.” (FAC, ¶¶ 57, 59.) Plaintiffs further allege Ford either “refused to acknowledge [the Defect’s] existence” or “performed superficial and ineffectual repairs that simply masked the symptoms” of the Defect. (Id. ¶ 59.) Moreover, Plaintiffs allege that despite its knowledge of the Defect, Ford, continued to represent that the engine’s defective components “were of high quality” and “trained its dealers… to specifically tout the supposedly superior attributes” of the engines without mentioning the Defect. (Id. ¶ 72.) Simultaneously, Plaintiffs allege Ford “never instructed its dealerships to disclose [the Defect] to drivers or potential purchasers” and “failed to notify consumers, dealerships, [and] auto-technicians” of the Defect, thus preventing the Defect from being efficiently diagnosed. (Id. ¶¶ 68, 70.)

The

issue with these allegations is that Plaintiffs fail to sufficiently clarify the specific false representation(s) and/or omission(s) made by or on behalf of Ford during the same and/or service transactions with Plaintiffs in particular or with respect to Plaintiffs’ specific Vehicle. For example, Plaintiffs have not alleged any factual details regarding the nature or extent of the specific sales interactions between Ford and Plaintiffs, such as where Plaintiffs purchased the Vehicle, and whether and when Plaintiffs spoke to Ford’s sales representatives or reviewed other sources of information about the Vehicle. The FAC is also entirely silent as to the dates on which Plaintiffs attempted to seek repairs for the Vehicle’s Defect, the locations of the service facilities, the names of any repair technicians, or their authority to speak on behalf of Ford. Even further, while Plaintiffs indicate that Ford used its “marketing materials” to conceal the Defect, Plaintiffs do not allege when they reviewed such materials, the type of materials they consulted, or their contents. (FAC, ¶ 72.) Finally, the FAC is uncertain as to whether Plaintiffs are alleging Ford actively misrepresented the quality of the Vehicle’s defective components or simply failed to discuss the Vehicle and/or its defective parts with Plaintiffs whatsoever. Thus, Plaintiffs must allege more factual details as to both the source and contents of the purported fraudulent misrepresentations and/or omissions so that Ford can reasonably identify the specific nature of the fraudulent conduct at issue.

Second, Plaintiffs fail to sufficiently allege facts demonstrating that Ford had a duty to disclose the alleged Defect to Plaintiffs. The California Supreme Court “has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant.” (BiglerEngler¿v.¿Breg, Inc. (2017) 7 Cal.App.5th 276, 311.) “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Rattagan, supra, 17 Cal.5th at p. 41.) For example, “a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.)¿

In the Court’s view, Ford’s written warranty, standing alone, is insufficient to impose a duty to disclose upon Ford where Plaintiffs have not alleged facts indicating any “direct dealings” between the parties. Although Plaintiffs contend in their Opposition that they “have pled a buyer-seller relationship with Ford” and that “Ford profited from selling [the Vehicle],” these facts are not alleged on the face of the FAC itself. (Opp., at pp. 3, 14.) Likewise, while Plaintiffs allege Ford concealed information in its “marketing materials,” Plaintiffs have not alleged enough factual detail regarding these materials to conclude that they were anything more than communications to the public at large. Plaintiffs also allege no facts indicating where they purchased the Vehicle or the seller’s relationship with Ford. While courts do consider the existence of an express warranty in evaluating a vehicle manufacturer’s duty to disclose, Plaintiffs have not set forth any legal authority to indicate that a vehicle warranty (by itself) constitutes the type of “direct dealings” necessary for such a duty, particularly where there are no facts in the FAC suggesting that Plaintiffs purchased the Vehicle from a Ford-authorized dealership or other Ford agents, or that Ford’s agents directly solicited business from Plaintiff. (See Dhital, supra,¿84 Cal.App.5th at p. 844 [holding a transactional relationship was sufficiently pled where “plaintiffs alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers.”].)

Therefore,

Plaintiffs’ sixth cause of action for fraud is insufficiently pled.

iii.
Economic
Loss Rule

Assuming
Plaintiffs can properly amend their pleadings to correct the above defects, the economic loss rule will not necessarily bar Plaintiffs’ fraud claim. Under the “economic loss rule,” there is generally no recovery in tort for purely economic losses arising from a contractual relationship, but there are exceptions for intentional tort claims like fraud. (Rattagan, supra, 17 Cal.5th at pp. 38-39.) For purposes of this exception, the California Supreme Court has stated that fraudulent concealment claims are treated no differently than affirmative fraudulent conduct, “so long as a plaintiff can establish all the required elements of the cause of action independently of the parties' contractual rights and obligations and can demonstrate an exposure to risks of harm beyond those that would be reasonably expected as the result of a contractual breach.” (Id. at p. 39.) For example, if the consequences of the contract were not reasonably contemplated when the contract was entered and the duty to avoid causing such harm has a statutory or public policy basis that is independent from the contract itself, a defendant may be liable for fraudulent concealment. (Id. at p. 27.)¿¿¿

¿¿

A party
purchasing a vehicle has not bargained with the expectation that the manufacturer has concealed known material defects. The warranty itself reflects that the parties allocated the risk of unknown defects but not known defects. (FAC, Exh. A.) Indeed, Plaintiffs allege they would not have purchased the Vehicle if they had known of the Defect at the time of the purchase. (Id. ¶¶ 60, 66, 71.) Further, California has a strong public policy interest, independent from the warranty contract itself, in ensuring that vehicle manufacturers do not withhold information regarding safety defects from consumers. (Rattagan, supra, 17 Cal.5th at p. 44 [“California public policy strongly supports imposing a tort duty on contractual parties to refrain from fraudulent deceit and favors enforcement of valid fraud actions, which the Legislature has facilitated through the enactment of the general fraud statute.”].) Accordingly, Plaintiffs’ sixth cause of action is not necessarily barred

by the economic loss rule. (See Dhital, supra, 84 Cal.App.5th at p. 843 [finding the economic loss rule did not preclude vehicle buyers' fraudulent inducement-concealment claim against the vehicle manufacturer, where the buyers' allegations concerned fraudulent conduct before the sale, which was therefore separate from the manufacturer's performance under the contractual or warranty provisions].)

C.
5th
Cause of Action: Negligent Repair — GRANTED with LEAVE TO AMEND

Walnut
moves for judgment on the pleadings of Plaintiffs' fifth cause of action on the grounds that: (1) it is barred by the economic loss rule and (2) Plaintiffs fail to sufficiently plead facts establishing damages.

i.
Economic
Loss Rule

To the
extent that the alleged repairs to the Vehicle were made pursuant to a contract for repair services, if any, Plaintiffs' negligent repair claim is likely barred by the economic loss rule. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922 ["In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage."].)¿Here, the FAC does not state whether Walnut agreed to perform services on the Vehicle pursuant to a contractual arrangement or whether Ford's
warranty applied to the repairs sought from Walnut. Nevertheless, it can reasonably be inferred that the parties contracted for the provision of services to the Vehicle to some degree, particularly considering Plaintiffs' allegations that Walnut was "engaged in the business" of "servicing and repairing automobiles." (FAC, ¶ 5.) The FAC does not identify any duty which arises independently from Walnut's agreement to perform services on the Vehicle that would give rise to tort liability for Walnut's alleged negligence. Rather, Plaintiffs simply allege that Walnut provided such services negligently. (Id., ¶ 49.) As Plaintiffs fail to:
(1) establish any duty owed by Walnut independent

from the presumed service contract or the written warranty, (2) identify whether Plaintiffs suffered any non-economic damages because of Walnut's conduct, or (3) allege facts suggesting that some exception to the economic loss rule applies here, the facts alleged on the face of the FAC demonstrate that Plaintiffs' negligent repair claim is barred by the economic loss rule.¿

ii. Essential Elements of Negligence

To plead a claim for negligent repair, "the complaint must allege facts sufficient to show a legal duty on the part of the defendant to use due care, a breach of such legal duty, and the breach as the proximate or legal cause of the resulting injury." (Bellah v. Greenson (1978) 81 Cal.App.3d 614, 619.) Here, Plaintiffs allege they delivered the Vehicle to Walnut for "substantial repair on at least one occasion." (FAC, ¶ 47.) Plaintiffs generally allege that Walnut "owed a duty to Plaintiffs to use ordinary care and skill in storage, preparation and repair" of the Vehicle "in accordance with industry standards," and breached said duty by failing to do so. (Id. ¶¶ 48-49.) Plaintiffs further allege that Walnut's "negligent breach" of this duty was a "proximate cause to Plaintiffs' damages." (Id. ¶ 50.) Even assuming these general allegations of duty and breach are sufficient, the primary issue with this pleading is that Plaintiffs fail to identify any facts identifying the nature, type, and scope of the damages that they purportedly sustained. Without more factual details as to what Walnut allegedly did or failed to do, Walnut cannot reasonably be expected to infer how their acts or omissions caused Plaintiffs to suffer an injury.

Based on the aforementioned analysis, Defendants' Motion for Judgment on the Pleadings is GRANTED. Notwithstanding the upcoming trial date, this motion represents the Court's first evaluation of the merits of Plaintiffs' pleading, given that Ford withdrew its prior demurrer to the original Complaint. In light of California's liberal policy favoring pleading amendments, the Court finds it would be unfair to Plaintiffs to dismiss this action without providing a reasonable opportunity to amend their pleading to cure the above-identified defects.

Defendants
are to serve notice of ruling. This
tentative ruling (“TR”) shall be the order of the Court unless changed at the
hearing and shall by this reference be incorporated into the Minute Order.

TR
emailed to counsel and posted to court’s website on 7/28/26 at 2 p.m.

[1] “As with all fraud claims, the necessary elements
of a concealment/suppression claim consist of ‘(1) misrepresentation (false
representation, concealment, or nondisclosure); (2) knowledge of falsity
(scienter); (3) intent to defraud (i.e., to induce reliance); (4) justifiable
reliance; and (5) resulting damage.’¿[Citation.]”¿(Dhital¿v.
Nissan North America, Inc.¿(2022) 84 Cal.App.5th 828, 843 (Dhital).)¿“Suppression
of a material fact is actionable when there is a duty of disclosure, which may
arise from a relationship between the parties, such as a
buyer-seller relationship.” (Id.¿at
pp.¿843-844.)